Write your name here Surname Other names ☐☐☐☐☐☐☐☐☐☐☐☐ Centre Number Candidate Number ☐☐☐☐☐☐ ☐☐☐☐☐☐	**Pearson Edexcel** **Level 3 GCE**

Economics A

Advanced

Paper 1: Markets and Business Behaviour

Predicted Paper — Hard (for revision purposes only)

Predicted Paper — For revision purposes only **Time: 2 hours** You do not need any other materials.	Paper Reference **9EC0/01** Total Marks 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 The UK Emissions Trading Scheme (UK ETS) allocates carbon permits to industrial emitters. In 2024 the market price of a 1-tonne CO_2 permit stood at £45; by 2025 the government tightened the cap, reducing the total number of permits issued by 12%, and the market price rose to £72.

Source: adapted from https://www.gov.uk/government/publications/uk-emissions-trading-scheme

(a) Assuming industrial demand for permits is broadly unchanged, calculate the approximate price elasticity of supply of carbon permits between 2024 and 2025. Show your working. **(4)**

(b) A rising carbon permit price most directly incentivises firms to: **(1)**

- ☐ **A** increase output in the short run
- ☐ **B** invest in lower-emission production technology
- ☐ **C** raise wages for low-skilled workers
- ☐ **D** demand a government subsidy on capital

(Total for Question 1 = 5 marks)

2 A behavioural economics experiment tested the effect of 'default settings' on workplace pension auto-enrolment. When workers had to actively opt in, participation was 38%. When enrolment was automatic (with the option to opt out), participation rose to 91%.

Source: adapted from https://www.gov.uk/government/publications/automatic-enrolment-evaluation-report

(a) Explain how this evidence is consistent with the existence of bounded rationality in pension decision-making. **(4)**

(b) The gap between the two participation rates is best described as a: **(1)**

- ☐ **A** positive externality
- ☐ **B** status-quo bias effect
- ☐ **C** moral hazard outcome
- ☐ **D** Giffen paradox

(Total for Question 2 = 5 marks)

3 Two supermarkets, A and B, must each decide whether to MAINTAIN or CUT their petrol forecourt prices. The payoff matrix below shows weekly profits (£ million) for each combination of strategies, with A's profit listed first and B's profit listed second.

	B: Maintain	**B: Cut**
A: Maintain	8 , 8	2 , 11
A: Cut	11 , 2	4 , 4

(a) Identify the Nash equilibrium of this one-shot game. You are advised to show your working. **(2)**

(b (i)) Calculate the combined weekly profit (£ million) achieved at the Nash equilibrium. **(1)**

(b (ii)) Calculate the combined weekly profit (£ million) that would be achieved if both firms maintained prices instead. **(1)**

(c) In a repeated version of this game, collusion (both firms maintaining prices) is more likely when: **(1)**

☐ **A** the discount rate on future profits is very high

☐ **B** firms cannot detect whether rivals have deviated

☐ **C** interactions are frequent, credible punishments exist, and firms value future profits highly

☐ **D** entry barriers are low and new rivals enter regularly

(Total for Question 3 = 5 marks)

4 A rural county has a single food-processing factory that employs 80% of the local unskilled workforce. Economists describe this as a local monopsony. The UK government is considering raising the National Living Wage by 9% in real terms.

(a) Using a labour-market diagram, explain why a binding minimum wage could, in this case, increase both wages and employment. **(4)**

(b) The same policy, applied in a perfectly competitive labour market, would be most likely to cause: **(1)**

☐ **A** a rise in both wages and employment

☐ **B** a rise in wages and a fall in employment, creating excess labour supply

☐ **C** no change in wages or employment

☐ **D** a fall in wages and a rise in employment

(Total for Question 4 = 5 marks)

5 In April 2025 the UK National Living Wage (NLW) for workers aged 21 and over rose by 6.7% to £12.21 per hour. UK grocery retailers are among the largest private-sector employers of NLW workers.

(a) A 6.7% rise in the NLW is most likely to reduce employment significantly when the elasticity of demand for labour is: **(1)**

☐ **A** perfectly inelastic

☐ **B** relatively inelastic (close to zero)

☐ **C** relatively elastic (greater than one in absolute value)

☐ **D** unit-elastic

(b) Explain one reason why the demand for low-skilled labour in UK grocery retail may be relatively wage-inelastic. **(2)**

(c) Calculate the increase in the weekly wage bill for a grocery retailer employing 400 NLW workers, each working 30 hours per week, following the 6.7% rise from £11.44 to £12.21 per hour. You are advised to show your working. **(2)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 UK retail banking

Figure 1: UK personal current account (PCA) market share, 2024

Bank	PCA market share (%)
Lloyds Banking Group	25.4
NatWest Group	17.2
Barclays	14.1
HSBC UK	10.8
Santander UK	9.3
Nationwide BS	8.9
Challenger banks (Starling, Monzo, others)	8.6
Others	5.7

Source: adapted from https://www.fca.org.uk/retail-banking-market-study-2024

Figure 2: Number of active UK Open Banking users and API calls, 2020–2024

Year	2020	2021	2022	2023	2024
Active users (millions)	2.5	4.5	7.0	9.5	11.8
API calls (billions, annual)	1.8	6.1	14.5	22.9	31.7

Source: adapted from https://www.openbanking.org.uk/impact-report-2024

Extract A — Competition and consumer inertia

The UK retail banking sector has long been characterised by high concentration in personal current accounts, with the top four banks holding roughly two-thirds of the market in 2024. Despite the introduction of the Current Account Switch Service (CASS) in 2013, annual switching rates remain below 2% of accounts. The Financial Conduct Authority has argued that consumer inertia — driven by status-quo bias, perceived hassle costs and limited engagement with pricing — is a primary obstacle to effective competition. Large incumbents continue to benefit from an extensive branch network, cross-selling into mortgages and savings products, and strong brand recognition built over many decades.

Source: adapted from https://www.fca.org.uk/publications/market-studies/retail-banking-competition

Extract B — Open banking and fintech challengers

Open Banking rules, introduced in 2018, require the nine largest UK banks to share customer transaction data — with consent — via secure APIs. Active usage has grown from 2.5 million users in 2020 to 11.8 million in 2024. Fintech firms including Revolut, Wise, Starling and Monzo have used the framework to build budgeting tools, alternative credit products, and fee-free foreign exchange services. Challenger banks have collectively grown their share of personal current accounts from under 2% in 2019 to 8.6% in 2024. Industry analysts remain divided on whether the pace of change is sufficient to erode the dominance of the largest incumbents, which still command the overwhelming majority of household deposits.

Source: adapted from https://www.openbanking.org.uk/impact-report-2024

Extract C — Proposed challenger-bank merger

In 2026 two leading UK challenger banks, Starling and Monzo, announced that they were in advanced talks over a proposed merger. The combined entity would hold roughly 6.1% of the UK personal current account market and would be the largest digital-only bank in the country, but would still rank below each of the 'Big Four' incumbents. Supporters argue that the merger would create a credible fifth force in UK retail banking and accelerate investment in machine-learning-based affordability checks. Critics have expressed concern about reduced choice among digital-native banks, and the CMA has indicated that it will open a phase-one review focused on competition in fee-free personal current accounts and app-based small-business banking.

Source: adapted from https://www.gov.uk/cma-cases/challenger-bank-merger-review

(a) With reference to Figure 1 and Extract A, calculate the four-firm concentration ratio in UK retail banking in 2024 and explain one likely consequence of this market structure for consumers. **(5)**

(b) With reference to Figure 2 and Extract B, and using a cost and revenue diagram, discuss the possible effects of Open Banking on the degree of competition in UK retail banking. **(12)**

(c) Examine two measures, other than Open Banking, that the UK government could use to strengthen competition in UK retail banking. **(8)**

(d) With reference to Extract A, assess the extent to which behavioural biases, rather than structural market power, are the primary obstacle to effective competition in UK retail banking. **(10)**

(e) With reference to Extract C and your own knowledge, discuss the likely impact on consumers of the proposed merger between the two challenger banks. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 In 2025 the UK government announced a trial of 'nudge' interventions in public health — including default restaurant menu sizing and simplified front-of-pack warning labels — to reduce obesity.

Source: adapted from https://www.gov.uk/government/consultations/obesity-policy-nudges

Evaluate the likely microeconomic effects of using behavioural 'nudge' policies, rather than Pigouvian taxation, to correct health-related market failures. Refer to real-world examples in your answer.

(25 marks)

OR

8 'Algorithmic pricing by online retailers inevitably leads to tacit collusion and should be regulated as a prohibited practice.'

To what extent do you agree with this statement? Refer to at least one industry in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS